No prior restatement

Specification	Audit failure	Restatement	Violation
A. Annual panel: separate history			
Current auditor	0.003	0.002	0.003
	(0.006)	(0.005)	(0.004)
Observations	33,842	34,290	33,842
R-squared	0.2484	0.2494	0.2396
Outcome mean	0.040	0.025	0.024
B. Annual panel: joint histories			
Current auditor	0.000	0.002	0.002
	(0.006)	(0.005)	(0.005)
Observations	31,619	32,019	31,619
R-squared	0.2527	0.2514	0.2432
Outcome mean	0.040	0.025	0.023
C. New match: first 1 fiscal year(s)			
Successor auditor	-0.004	0.001	-0.005
	(0.007)	(0.006)	(0.007)
Predecessor auditor	-0.010	-0.001	-0.013*
	(0.010)	(0.006)	(0.008)
Observations	8,189	8,320	8,189
R-squared	0.0335	0.0363	0.0260
Outcome mean	0.042	0.030	0.023
D. New match: first 2 fiscal year(s)			
Successor auditor	-0.014	-0.014	-0.008
	(0.013)	(0.010)	(0.013)
Predecessor auditor	-0.013	-0.007	-0.014*
	(0.011)	(0.011)	(0.008)
Observations	7,389	7,560	7,389
R-squared	0.0421	0.0508	0.0313
Outcome mean	0.063	0.046	0.034
E. New match: first 3 fiscal year(s)			
Successor auditor	-0.019	-0.018	-0.011
	(0.014)	(0.013)	(0.014)
Predecessor auditor	-0.030***	-0.017	-0.023***
	(0.009)	(0.012)	(0.008)
Observations	6,558	6,775	6,558
R-squared	0.0470	0.0564	0.0356
Outcome mean	0.083	0.061	0.047

Notes: Histories exclude the focal client and use disclosures available before January 1 of the observation year. At least three prior reports and two prior years are required; missing history is not coded as clean. Annual models include client, audit firm and year fixed effects; standard errors are clustered by client. New-match models include audit firm and event-year fixed effects; standard errors are clustered by audit firm. All models include client and historical exposure controls; event models also control for predecessor exposure. Event outcomes equal any failure in the complete follow-up window starting in the matching year. Each fiscal year has a three-year disclosure window. Samples can differ across histories and horizons. *** p<0.01, ** p<0.05, * p<0.1.